

Credit Note Module – Simplified Requirement Document for TMS Development

Understanding :

provides logistics services

- Sometimes customers deduct amounts from invoices due to operational issues.
- These deductions are related to shipments, but credit notes are currently created only in eMPro, not TMS.
- To analyze profitability correctly, credit notes must be created in TMS against each shipment and then pushed to eMPro automatically.

Common reasons for deduction:

- Wrong customer selection
- Credit note raised without invoice (Shipment-wise credit note) for customer & Debit note to vendor
- Weight/CFT mismatch
- ODA or other extra charges
- Package/Quantity mismatch
- Delivery or Pickup charge error
- Wrong freight rate applied
- Wrong vehicle type, origin or destination
- Loss or damage in shipment
- Shipment-wise billing issues
- SAC / HSN Code / GST rate issue



Current Process :

- Right now, all credit notes are created in eMPro system.
- Credit notes are entered only at customer level and invoice basis.

Current Challenges :

- Credit notes are recorded only against invoices in eMPro.
- Operational level details are available in TMS but not connected with credit note entry.

No visibility for:

- Shipment-wise costing impact
- Recovery from vendor/supplier
- Manual tracking and reporting gaps



Requirement : Point to be consider

- TMS must have the feature to create credit notes, and the data should automatically flow to the eMPro system.
- System should have proper approval workflow for tracking credit note status.
- System should show recovery visibility (from vendor or internal/self loss).
- TMS must generate reports showing profit impact of credit notes at shipment level.

Reasons for Credit Note Creation

- (Credit note can be created for the below discrepancies)
- Wrong customer selection
- Credit note without invoice (shipment-wise credit note) for customer & Debit note to vendor
- Weight or CFT mismatch
- ODA/Pkg/Qty/Delivery/Pickup charge issues
- Wrong freight rate applied
- Wrong vehicle type, origin, or destination
- Loss or damage in shipment
- Shipment-wise billing issues
- SAC/HSN Code/GST rate issues

Additional Requirements

- Visibility of debit note towards supplier should be there during approval stage.
- A new option must be available in TMS to add more deduction categories (with SAC/GL/Code mapping) (**Admin can add/Edit category in Category Master**)
- System should be able to compress attachments without loss of quality (max upload limit: 5 MB).
- Credit Note Report is required in TMS. (Report header/format will be shared later by.)



Points to consider :

Credit Note Creation Rules

- Credit notes should be created against original invoice OR shipment-wise without invoice (as per confirmation).
- One shipment can have multiple credit notes.
- User must select the shipment and enter the credit note amount.
- Deduction categories like Damage / Shortage / Wrong Billing / Other (extendable) From (**Category Master – Slide no. 8**)

Amount & Reason Selection

- Credit note value can exceed freight amount (especially in damage/shortage cases).
- For every shipment selected, a reason must be chosen for the credit amount.

Special Case Handling

If wrong customer is selected in billing, then:

- Shipment amount should auto-fill in credit note field.
- After approval, shipment should become editable to generate new invoice.

Points to consider :

Attachments & System Options

- System must allow multiple file uploads at credit note level (Max size 5 MB).
- A feature is required to add more deduction categories dynamically in future.

Approval Workflow

- 4-level approval required:
1)BM , 2)Business Head , 3)CFO , 4)COO
- If debit note to supplier is not available, then **5th level approval is required** (Vertical COO / Vertical CFO).
- Approvers cannot edit amount, only Approve / Reject / Return.

Notifications & Data Flow

- System must send email notifications at all approval stages:
 - Creation, Approval, Rejection, Return, Inflow
 - Email will also include Approve Button (format will be shared later).
- After final approval:
 - Data must be pushed to eMPro including Invoice No., Customer Code & Credit Note details.
 - GST must be reversed accordingly

Deduction Category (only active category will be visible in credit note page)

S.No	Deduction category	GL Code	GL Description	SL Code	SL Descriptions	SAC Code	GST Rate	E-Invoice Required	Sequence
1	Freight Amount	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
2	Docket Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
3	Fuel Surcharge	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
4	Unloading Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
5	Pickup Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
6	Door Delivery Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
7	Loading Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
8	FOV Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
9	Other Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
10	Detention Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
11	Handling Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
12	Parking Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
13	Toll Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	0%	Yes	1CXR
14	Halting Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
15	Green Tax Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	0%	Yes	1CXR
16	Hamali Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
17	ODA Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
18	Material Damage Charges	50017	Miscellaneous expenses	50017556021	DAMAGE/ SHORTAGE/ MATERIAL LOSS	NO GST Applicable		NO	1CNR
19	Short Qty Recived	50017	Miscellaneous expenses	50017556021	DAMAGE/ SHORTAGE/ MATERIAL LOSS	NO GST Applicable		NO	1CNR
20	Material loss in Transit	50017	Miscellaneous expenses	50017556021	DAMAGE/ SHORTAGE/ MATERIAL LOSS	NO GST Applicable		NO	1CNR
21	Wrong Unit Selection (In Case of Transportation charges)	40005	Logistic and transportation services	40005411004	Service Charge Income	As per Invoice/Shipment	18%	Yes	1CXR
22	Wrong Unit Selection (In Case of Toll tax charges)	40005	Logistic and transportation services	40005411004	Service Charge Income	996749	0%	Yes	1CXR
23	Mathadi Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	996799	18%	Yes	1CXR
24	Other Support Service Charges	40005	Logistic and transportation services	40005411004	Service Charge Income	996799	18%	Yes	1CXR
25	Challan	40005	Logistic and transportation services	40005411004	Service Charge Income	NO GST Applicable		NO	1CNR
26	Sale tax/ GST Demand	50028	Transport and freight charges	50028516001	Transportation Charges	NO GST Applicable		NO	1CNR
27	GST Loss	50028	Transport and freight charges	50028516001	Transportation Charges	NO GST Applicable		NO	1CNR
28	DI Default Penalty	40005	Logistic and transportation services	40005411004	Service Charge Income	996799	18%	Yes	1CXR
29	Service Default Penalty	40005	Logistic and transportation services	40005411004	Service Charge Income	996799	18%	Yes	1CXR



Customer Credit Note

Criteria

1

2

TMS Bill/eMPro Bill No

C242538060

Or

Shipment No/Pickup ID (separate by comma)

Next

- Only single customer shipment allow (if bill generated system give popup with shipment- Customer/Pickup ID bill no) (invoice generation shipment not allow for shipment wise credit note) shipment
- Shipment/Pickup ID select separate by comma (for same customer)





Bill Details

Billing Party

MATE_PLANT_NOIDA

TMS Bill No

C242538990

TMS Bill Date

01-Nov-2024

eMPro Bill No

TS125008203

Billing Branch

Noida

SAC Code-996791-Goods Transport Agency@12%

RCM-N

Bill Types - TBB

Transport Mode- Road

Bill Amount-5000.00

IGST-60.00

Credit Note Details

S.No	Branch	CN No	CN Date	Bill Amount	CN Amount	% of Deduction	Created By	Credit Note status	Document
1	Noida	Noida2001	08-12-2024	5000	200	4%	Rajender Arya	Approved	View
2	Noida	Noida3001	08-12-2024	5000	300	6%	Kamal Kumar	Pending with Approver 2	View

Controls:-

- If eMPro bill is NULL (eMPro bill number is not available), then credit note not allow (This check will be confirmed later)
- Visibility of previous credit note generated detail with shipment and vendor debt note and vendor shipment detail

[Next](#)





Bill Details

Billing Party

MATE_PLANT_NOIDA

TMS Bill No

C242538990

TMS Bill Date

01-Nov-2024

eMPro Bill No

TS125008203

Billing Branch

Noida

Bill Shipment detail

Deduction category																				
Deduction category																				
Freight Amount																				
Docket Charges																				
S.No	Branch	Docket No	Pickup Id	Docket Date	Consignor	Consignee	Vendor Name	Vendpr No	Transport Mode	Vehicle Type	Charge Weight	Docket Amount	THC Amount	Previous Credit note Amount	Vendor Debit Note Amount	Deduction Amount	Remark	Contract Y/N	View Contract /Adhock Doc	View vendor Debit Note
1	MANESAR	2526200907	903496	13/11/2024	MATE_MANESAR	MSIL_GURGAON	Balaji	2323434	ROAD	22FT_CANTER	1000	2848	1500		400	400	Damage	Y		
2	PTL	2526201283	903867	13/11/2024	MTTL_CL_PLANT_GR_NOIDA	416121	Critical log	86701792	COURIER	PTL	30	71.4	60	60	1500	1500	Damage	N		
3	BAWAL	2526201309	903882	13/11/2024	SUNTAK WAREHOUSE	DANFOSS POWER SOLUTIONS	Suntek	11818447	EXPRESS	PTL	216	1395.4	1200	60						

Workflow Role	Name
Branch Manager	Ullas Pant
Business Head	Rajan Laurachiya
CFO	AMIT BHATTAR
Chief Operating Officer	PARSHANT GOYAL

- If debit note to supplier is not available, then 5th level approval is required (Vertical COO / Vertical CFO).

Controls :

- Credit note amount against particular shipment may be more than freight (in case damage/shortage).
- Adhoc shipment attachment will show in hyperlink on docket no and contracted show in view contract
- Facility to upload any type of multiple attachment at credit note level

Upload Document

Submit

Credit Note detail

Billing Party	TMS Bill No	TMS Bill Date	eMPro Bill No	Billing Branch
MATE_PLANT_NOIDA	C242538990	01-Nov-2024	TS125008203	Noida
Credit Note No	Noida-2001	Credit Note Date	09-Jan-2025 12:45	
SAC Code-996791-Goods Transport Agency@12%		RCM-N	Bill Types - TBB	Transport Mode- Road
Bill Amount-5000.00	IGST-60.00	Credit Note Amount-500.00		

Points to consider :

- Once Credit note submit credit note move for approval process
- Email notifications on Creation, approval / rejection at all 4 levels with Approve Button in Mail

Credit Note approver 1 screen

Pending Credit note for approval													
S.No	Branch	DN No	DN Date	Vendor	Bill No	eMPro Bill No	Bill Date	Bill Amount	CN Amount	% of Deduction	Bill Generation user	Credit note user	Document
1	Noida	Noida2001	08-12-2024	MATE_PLANT_Noida	C242538990	TS125008203	08-11-2024	5000	500	10%	Rahul Kumar	Rajender Arya	View
2	Sanand	Noida3001	08-12-2024	MATE_PLANT_SANAND	C242538755	TS125008555	08-11-2024	8000	300	4%	Kamal Kumar	Kamal Kumar	View

Keep Columns at DB Level only

Credit Note approver 2 screen

Pending Credit note for approval													
S.No	Branch	DN No	DN Date	Vendor	Bill No	eMPro Bill No	Bill Date	Bill Amount	CN Amount	% of Deduction	Bill Generation user	Credit note user	Document
1	Noida	Noida2001	08-12-2024	MATE_PLANT_Noida	C242538990	TS125008203	08-11-2024	5000	500	10%	Rahul Kumar	Rajender Arya	View
2	Sanand	Noida3001	08-12-2024	MATE_PLANT_SANAND	C242538755	TS125008555	08-11-2024	8000	300	4%	Kamal Kumar	Kamal Kumar	View

Credit Note approver 3 screen

Pending Credit note for approval													
S.No	Branch	DN No	DN Date	Vendor	Bill No	eMPro Bill No	Bill Date	Bill Amount	CN Amount	% of Deduction	Bill Generation user	Credit note user	Document
1	Noida	Noida2001	08-12-2024	MATE_PLANT_Noida	C242538990	TS125008203	08-11-2024	5000	500	10%	Rahul Kumar	Rajender Arya	View
2	Sanand	Noida3001	08-12-2024	MATE_PLANT_SANAND	C242538755	TS125008555	08-11-2024	8000	300	4%	Kamal Kumar	Kamal Kumar	View

Credit Note approver 4 screen

Pending Credit note for approval													
S.No	Branch	DN No	DN Date	Vendor	Bill No	eMPro Bill No	Bill Date	Bill Amount	CN Amount	% of Deduction	Bill Generation user	Credit note user	Document
1	Noida	Noida2001	08-12-2024	MATE_PLANT_Noida	C242538990	TS125008203	08-11-2024	5000	500	10%	Rahul Kumar	Rajender Arya	View
2	Sanand	Noida3001	08-12-2024	MATE_PLANT_SANAND	C242538755	TS125008555	08-11-2024	8000	300	4%	Kamal Kumar	Kamal Kumar	View

Credit Note approver 5 screen

Pending Credit note for approval													
S.No	Branch	DN No	DN Date	Vendor	Bill No	eMPro Bill No	Bill Date	Bill Amount	CN Amount	% of Deduction	Bill Generation user	Credit note user	Document
1	Noida	Noida2001	08-12-2024	MATE_PLANT_Noida	C242538990	TS125008203	08-11-2024	5000	500	10%	Rahul Kumar	Rajender Arya	View
2	Sanand	Noida3001	08-12-2024	MATE_PLANT_SANAND	C242538755	TS125008555	08-11-2024	8000	300	4%	Kamal Kumar	Kamal Kumar	View

Customer Credit Note tracking

Criteria



TMS Credit Note No

NOIDA-2001

Or

eMPro Credit Note No

Shipment

Pickup ID

[Next](#)



Request



My dashboard

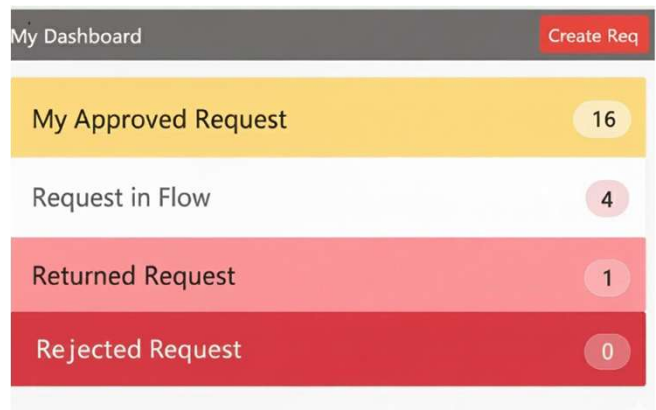
Requisition List

My Approved Request

Approve Request

You have 1 Returned Request(s)





S.No	Customer	Credit note Number	Credit Note Date	Amount	Status	Pending At
1	P09	Noida123	01-12-2025	100	Inwork flow	Approver 2
2	P23	Delhi456	04-12-2025	300	Inwork flow	Approver 5

In above detail some changes may be added
so we will share later (if change required before testing)

Customer Credit note report

Download Finance Report

Report

1

Select Date

07/01/2025 - 13/01/2025

Location

HQTR : SMGCL HEAD QUARTER

Report Type

Credit Note

Criteria

2

Customer

C00008

MATE_PLANT_SANAND

OR

Pickup id/docket no/ credit note no

(seperated by comma if multiple)

Next

